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CHECKLIST · COST ACCOUNTING

DCAA Compliant Accounting System: What SF 1408 Actually Tests

DCAA does not approve accounting systems. A pre-award survey tests yours against SF 1408. What a DCAA compliant accounting system must show.

BY **MATTHEW DAVIS** READING TIME · 7 MIN DCAA · SF-1408 · COST-ACCOUNTING · TIMEKEEPING · FAR

Search for a DCAA compliant accounting system and the results will sell you one: DCAA-approved software, DCAA-approved setups, DCAA-approved bookkeepers. The phrase does a lot of commercial work for a credential nobody issues. The Defense Contract Audit Agency does not certify software or hand out approvals to market. What happens before a first cost-type award is narrower, and more useful to understand in advance.

The direct answer: before awarding a cost-reimbursement contract, the government must be satisfied your accounting system is adequate. Under the overhauled FAR Part 16, which DoD put into effect by class deviation, that contract type may be used only when the contractor's system "can adequately segregate, accumulate and allocate costs" to it (16.301-3(a)(3)). The usual test is a pre-award accounting system survey: an auditor, often from DCAA, examines the *design* of your system against the criteria on Standard Form 1408 and recommends yes, no, or yes with a follow-on review after award. The adequacy call belongs to the contracting side. DCAA's contractor manual describes the audit as furnishing information to the contracting officer, and DFARS 242.7502 has the contracting officer, consulting the auditor, approve or disapprove the system.

If a clause read of the solicitation turns up cost-reimbursement terms, the survey is coming - and because its questions are published, it is diligence a small firm can prepare for completely. What follows walks them in the form's order.

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DCAA

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ACCOUNTING-SYSTEM PROVISIONS UNDER ITEM 2 OF SF 1408, FRAMED BY A GAAP QUESTION UP FRONT AND A FULL-OPERATION QUESTION AT THE END

24 hours

GSA'S OWN BURDEN ESTIMATE FOR READING THE SF 1408 INSTRUCTIONS, GATHERING THE FACTS, AND ANSWERING

18

CRITERIA IN THE DFARS ACCOUNTING SYSTEM CLAUSE THAT GOVERNS AFTER AWARD, NOW ISSUED BY DOD CLASS DEVIATION AS 252.242-7999

The threshold test for a DCAA compliant accounting system

SF 1408 brackets everything with two questions: is the system in accord with generally accepted accounting principles (item 1), and is it in full operation (item 5)? If not fully operating, the auditor records which portions are running, set up but idle, anticipated, or nonexistent. DCAA's manual allows a firm with no cost-type work yet to present a designed system rather than a running one, provided it can demonstrate the design and switch it on before the first contract cost posts.

What a firm cannot present is intent. Before requesting the audit, the contracting officer asks the offeror to complete DCAA's pre-award checklist, which demands a narrative for every question and bars "see above" cross-references. The usual small-business gap is not bad books. It is books a CPA closes competently for taxes, with nothing written down: no accounting policies, no timekeeping procedure, no chart of accounts saying which accounts are direct and which are pools. On the checklist, an undocumented design reads exactly like none.

Segregating direct costs and accumulating them by contract

Items 2a and 2b are the core. FAR 31.202 makes a direct cost one identified with a single final cost objective, such as a contract; FAR 31.203 covers what is shared. The auditor wants a written rule for which is which, applied every time, and a job-order structure that accumulates each contract's direct costs separately. Consistency has teeth: 31.202 bars charging a cost direct to one contract when costs for the same purpose in like circumstances sit in an indirect pool.

The QuickBooks version of this gap is structural. A chart of accounts built to mirror tax-return lines has one account for salaries, so a direct labor dollar and a proposal-writing dollar land together. Class or project tracking gets switched on midyear, or applied to invoices but never to payroll and vendor bills. The fix is accounts split by treatment (direct labor, overhead labor, G&A labor) and a contract or indirect code required on every transaction that can carry one.

Allocating indirect costs under general ledger control

Item 2c asks for a logical, consistent method of allocating indirect costs to intermediate and final cost objectives; DCAA reads it against FAR 31.201-4, which wants allocation by relative benefit or another equitable relationship. Item 2d asks that the job cost ledger and every other book reconcile to, and be governed by, the general ledger.

The common small-firm failure is the rate spreadsheet: a quarterly profit-and-loss export, pools rebuilt by hand, a base defined slightly differently each time, adjustments that never return to the books. An auditor who cannot trace a billed rate from the general ledger through a defined pool and base onto the contract is looking at a calculation, not a system. Build the pools as accounts and the bases as reports, and the books produce the rate instead of a person asserting it.

Timekeeping DCAA auditors lean on hardest

Items 2e and 2f ask for timekeeping that identifies each employee's labor by cost objective, and a labor distribution system that carries those hours, as dollars, to the right contracts and indirect accounts. DCAA's manual explains the emphasis: nothing external, no vendor or receipt, corroborates a labor charge.

◆ WHERE THE CITATIONS MOVED IN 2026

Under DoD's Revolutionary FAR Overhaul class deviations, the accounting-system condition for cost-reimbursement awards reads at FAR 16.301-3(a)(3), and the DFARS clause long cited as 252.242-7006 now appears as 252.242-7999 (Deviation 2026-O0050), effective March 16, 2026, with the same 18 criteria. The overhauled FAR Part 9 marks the old preaward-survey section reserved; SF 1408 itself remains a current form. Codified eCFR text still shows the older numbering until rulemaking catches up.

Labor is the one cost with no invoice behind it. The timesheet is the evidence, and the employee is the control.

The manual's expectations are specific. Employees record time daily, with a written procedure for staff who cannot reach the system from offsite or secure locations. Employees certify their own timesheets and supervisors approve them, but supervisors do not fill them in except during extended leave. Corrections preserve the original entry, the change, and the employee's concurrence. Every hour worked is recorded, paid or not, because rates and overhead depend on total hours. And the nature of the work, not remaining funding or contract type, decides where an hour goes. After award, DCAA may run unannounced floor checks at contractors on cost-reimbursement, time-and-materials, and labor-hour work.

The small-business gaps are predictable: salaried staff entering identical eight-hour days on Friday; an owner who records no time, so a whole salary sits in G&A while half the week goes to delivery; fifty-hour weeks reported as forty; a time app whose hours are re-keyed into payroll, turning labor distribution into transcription.

Monthly job costing and keeping unallowables out

Item 2g wants costs charged to each contract determined at least monthly through routine posting, which means a real monthly close and a job cost report that comes out of it. A firm that closes at tax time fails on cadence alone.

Item 2h asks the system to exclude what FAR Part 31 or the contract makes unallowable. DCAA's manual names expressly unallowable categories such as entertainment (31.205-14), donations (31.205-8), and bad debts (31.205-3), and wants them segregated in the books, or on an alternate basis that reconciles, so they never reach a proposal, bill, or indirect rate. The classic gap is one meals-and-entertainment account mixing client entertainment with travel meals. The stakes rise after award: claiming an expressly unallowable indirect cost in a final rate proposal draws a penalty under overhauled FAR 42.508 on contracts above $1 million. Whether a specific compliance expense is allowable is a separate question MacZine has worked through for CMMC spending; the survey asks only whether your system holds the line once that call is made.

Line items, funding limits, and the clause that follows award

The rest is conditional. Item 2i asks for costs by line item and unit where the contract requires it; 2j separates preproduction from production costs. Item 3 asks for the financial information limitation-of-cost, limitation-on-payments, and progress payment requests need. FAR 52.232-20 requires written notice when costs expected in the next 60 days, plus costs incurred, will exceed 75 percent of estimated cost; a firm comparing cost to funding only near the ceiling has already missed it. Item 4 asks whether the records yield reliable data for pricing follow-on work.

Passing converts the criteria into a contract term. DoD's Accounting System Administration clause lists 18, adding a sound internal control environment, subsidiary ledgers reconciled to the general ledger, approved adjusting entries, management reviews, and billings that reconcile to cost accounts. The contracting officer approves or disapproves, and a contractor has 30 days to answer an initial finding of material weakness. Payment withholding runs through the business systems clause, which reaches only contracts covered by the Cost Accounting Standards, and CAS exempts contracts with small businesses. The criteria and the power to disapprove carry no such carve-out.

MacTech's Market lists a DCAA Pre-Award Accounting Readiness engagement built on this walk: the SF 1408 criteria, a timekeeping review, and the documentation package a survey checks. With help or without, the narratives the checklist demands are the procedures the post-award clause will audit, and before the auditor asks is the only time a firm writes them on its own schedule. ◆